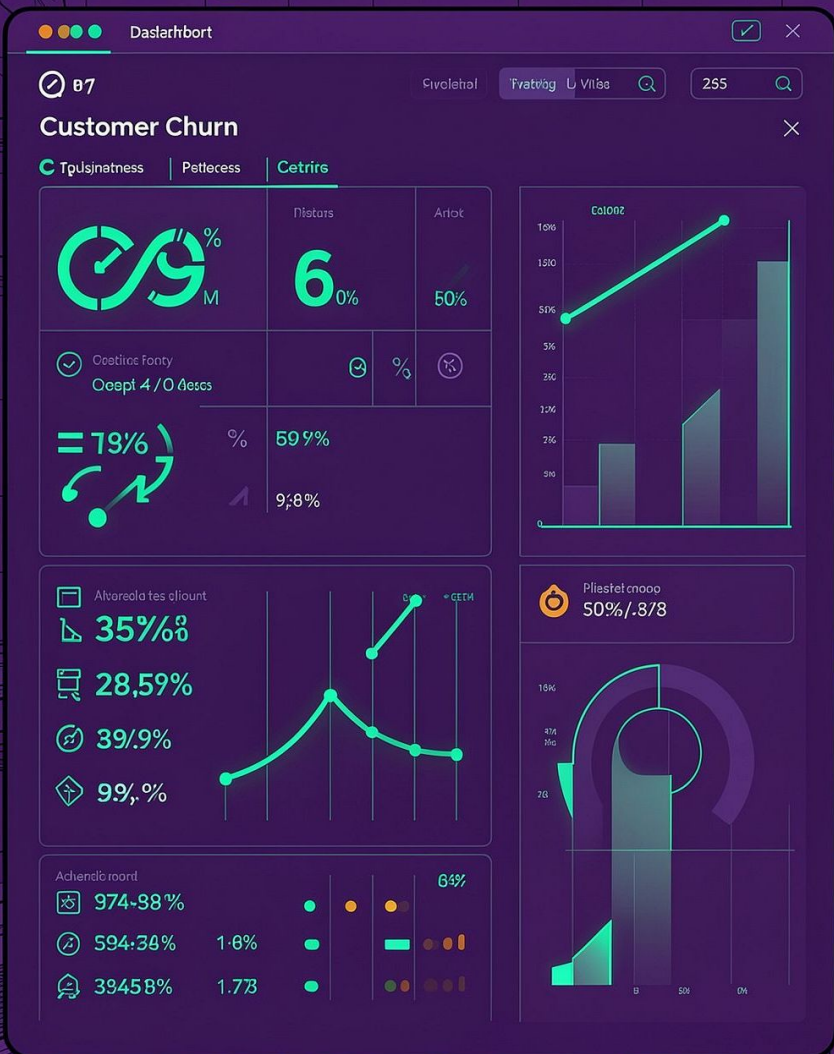




Customer Churn Analysis

Total Customers

7,043

Churn Rate

26.54%

Churned Customers

1,869

Monthly Charges by Customer Type

Existing customers contribute the majority of monthly charges compared with new customers.



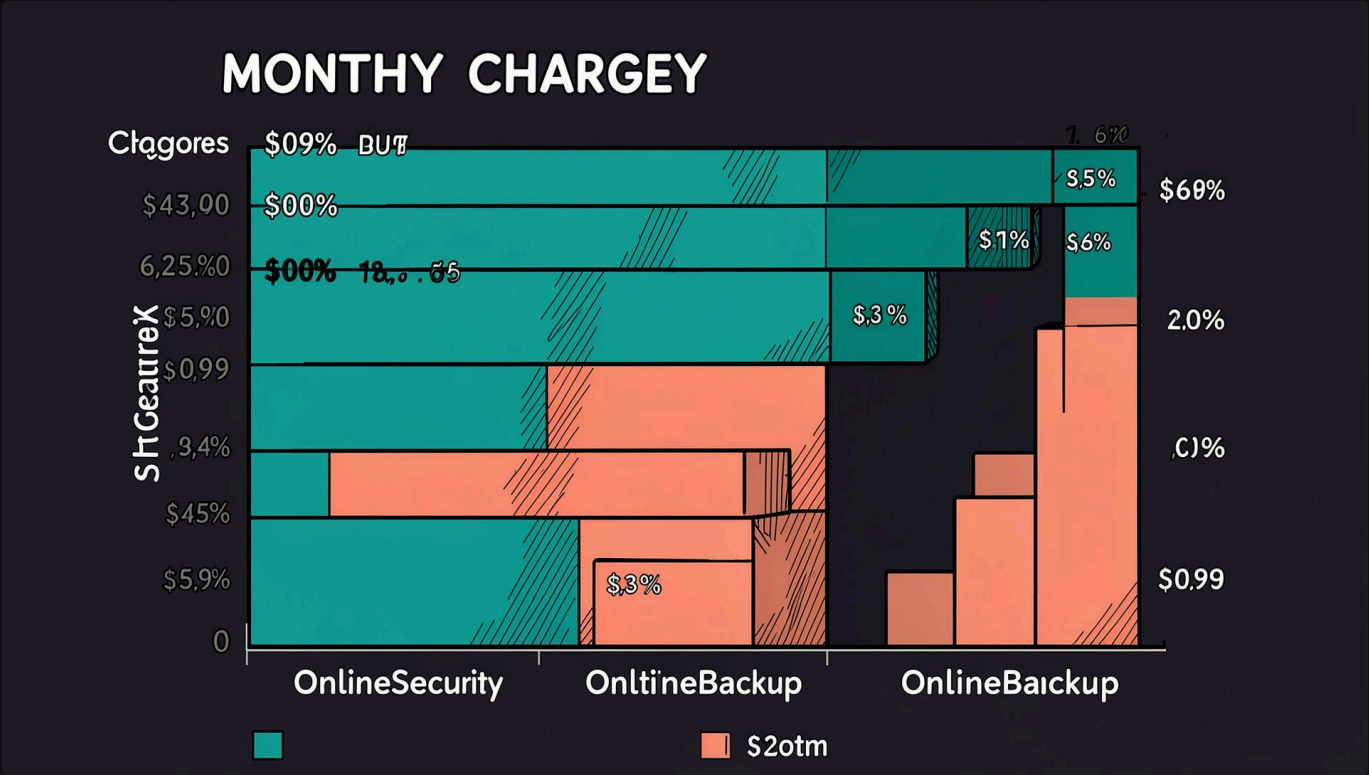
Key numbers

- Existing Customer — 375.03K
- New Customer — 81.08K

Focus retention efforts on existing customers—they drive revenue.

Services & Monthly Charges

Sum of MonthlyCharges segmented by OnlineSecurity and OnlineBackup reveals where revenue concentrates.



OnlineSecurity: No

157.44K



OnlineSecurity: Yes

94.43K



No Internet Service

32.24K



OnlineBackup: No

107.28K



OnlineBackup: Yes

64.72K

Average Monthly Charges: Retained vs Churned

Across churn categories, average monthly charges are higher for churned customers.

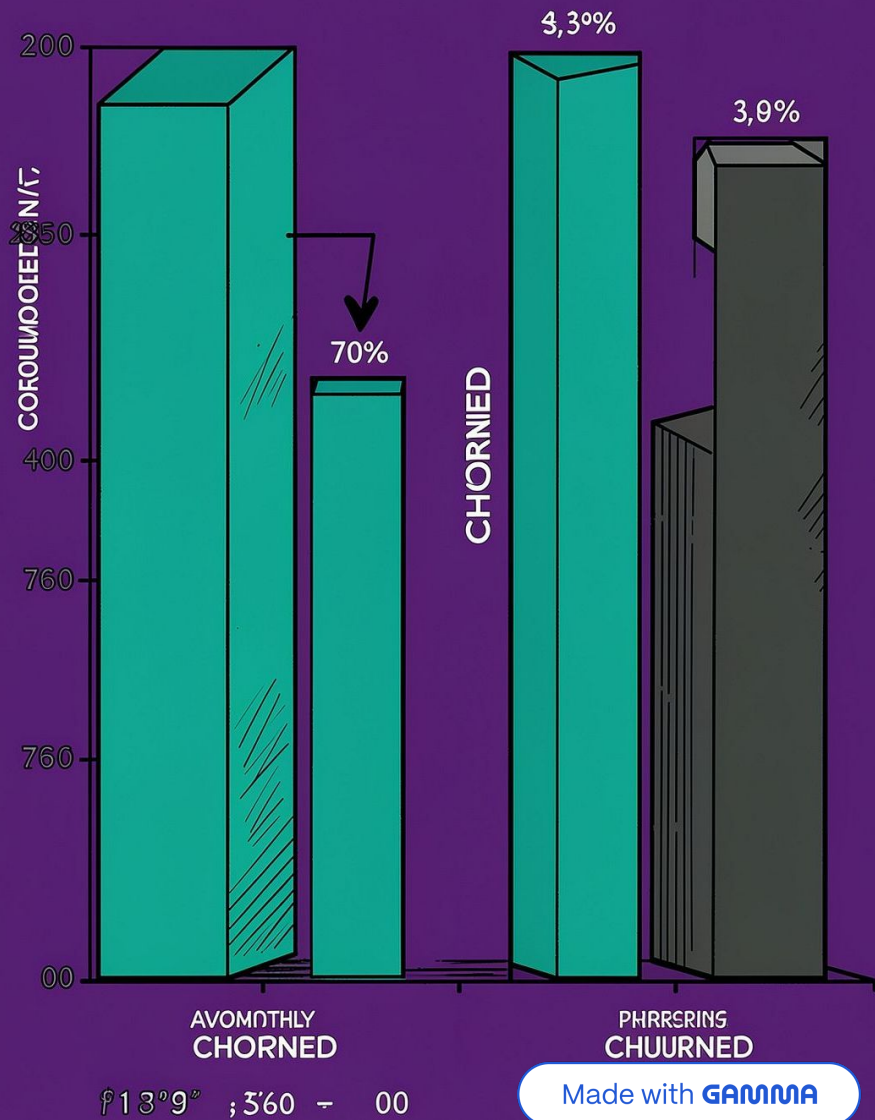
Retained

\$61 (both No and Yes groups)

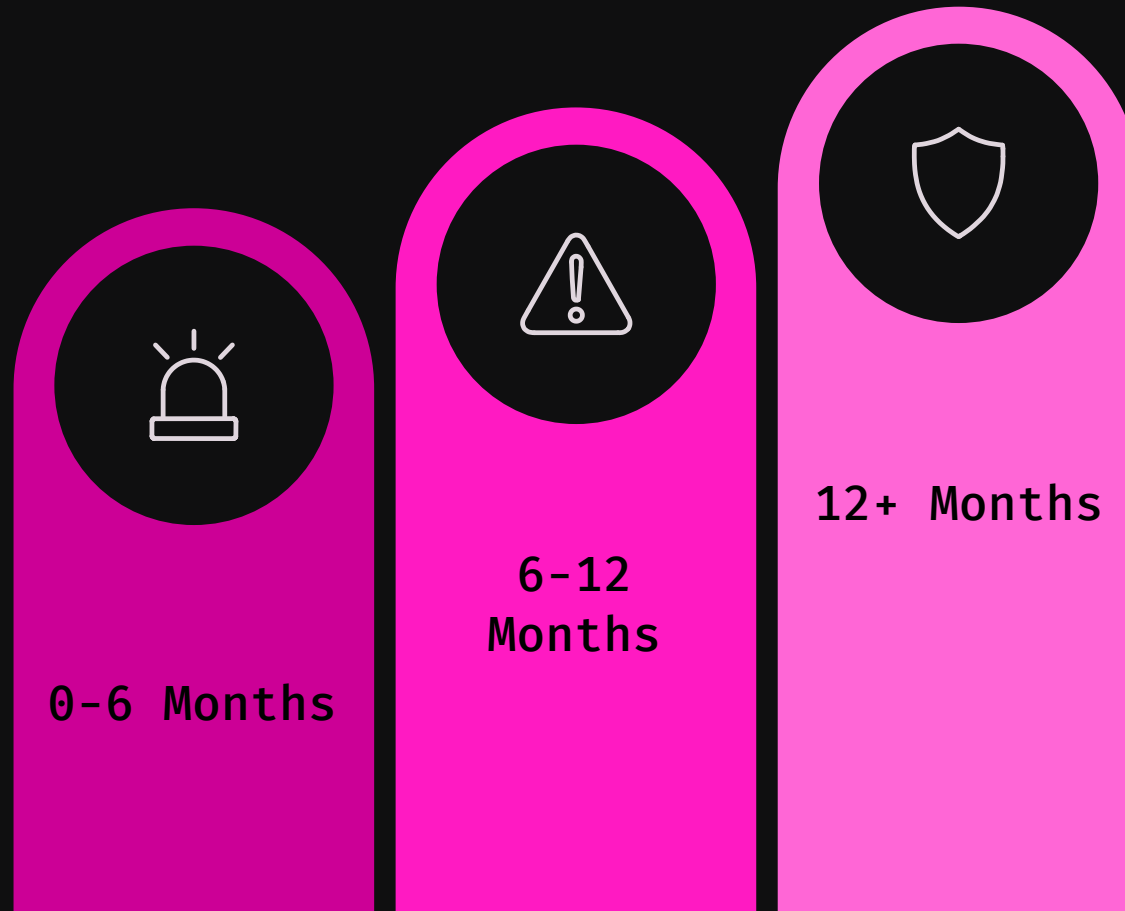
Churned

\$74 (both No and Yes groups)

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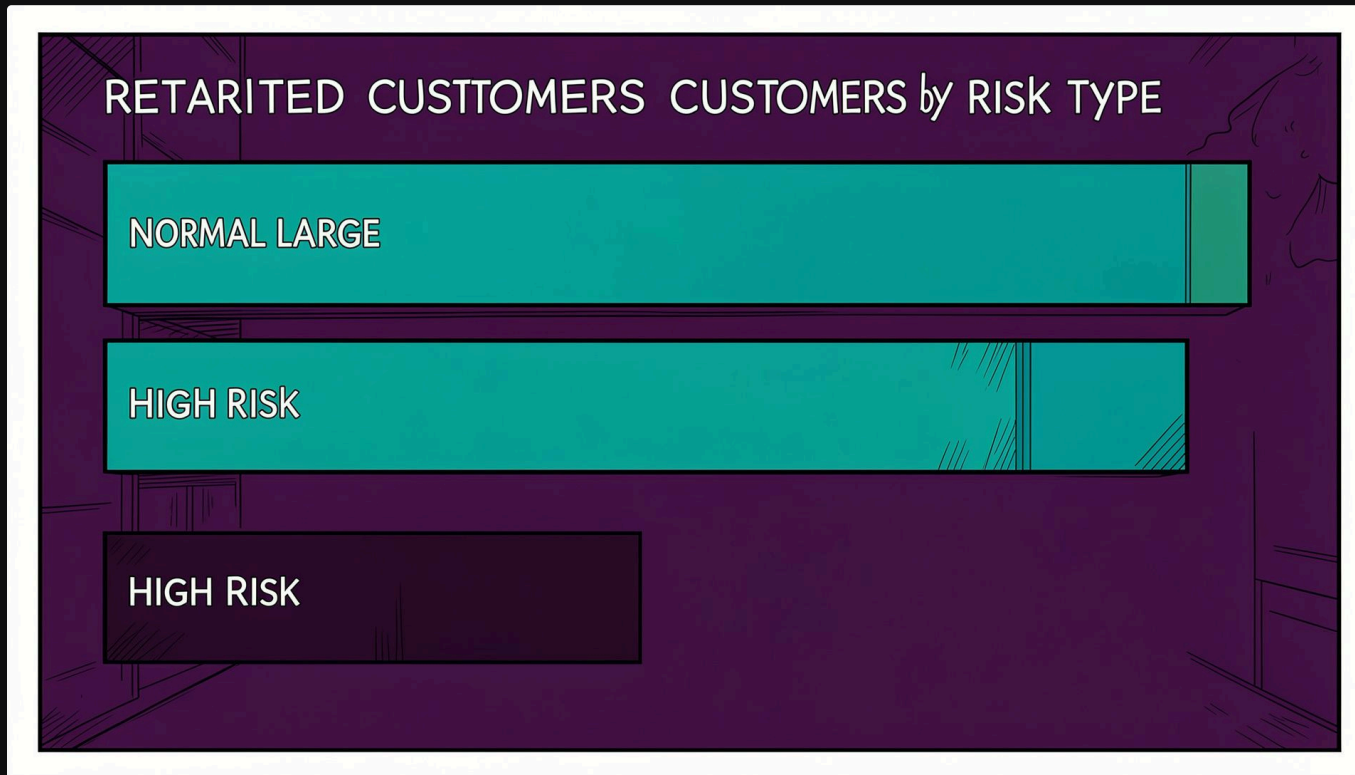


Churn Rate by Tenure Band



The highest churn occurs in the first 6 months (52.94%); long-tenure customers churn much less.

Risk Type – Retained Customers



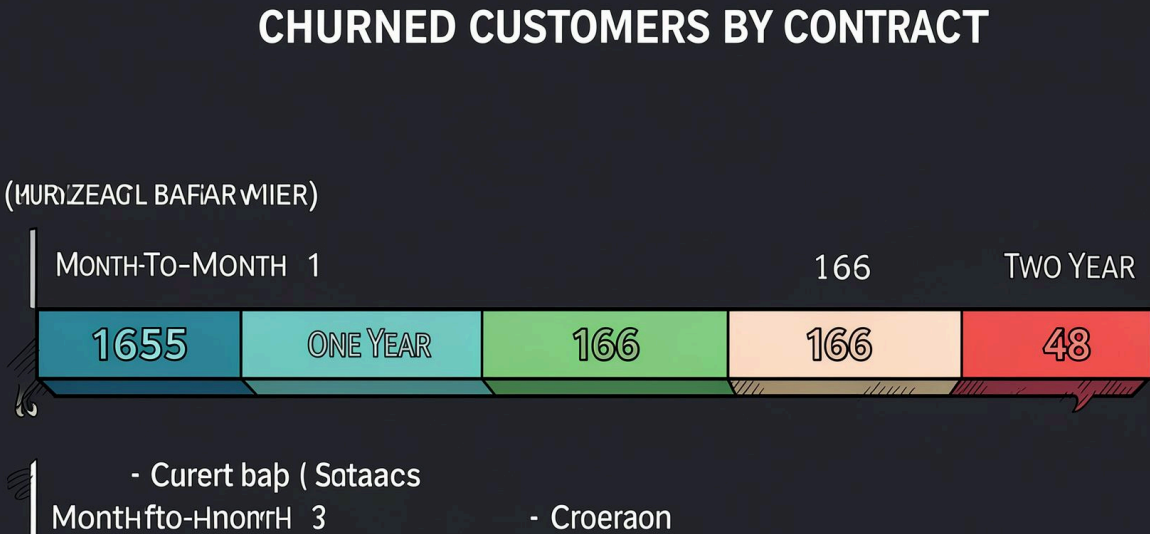
Distribution of retained customers by risk:

- Normal — 4,541
- High Risk — 633

📌 Monitor high-risk group for early intervention.

Churned Customers by Contract Type

Contract type is strongly associated with churn.



-

Month-To-Month

1,655 churned — largest source of attrition

2

One Year

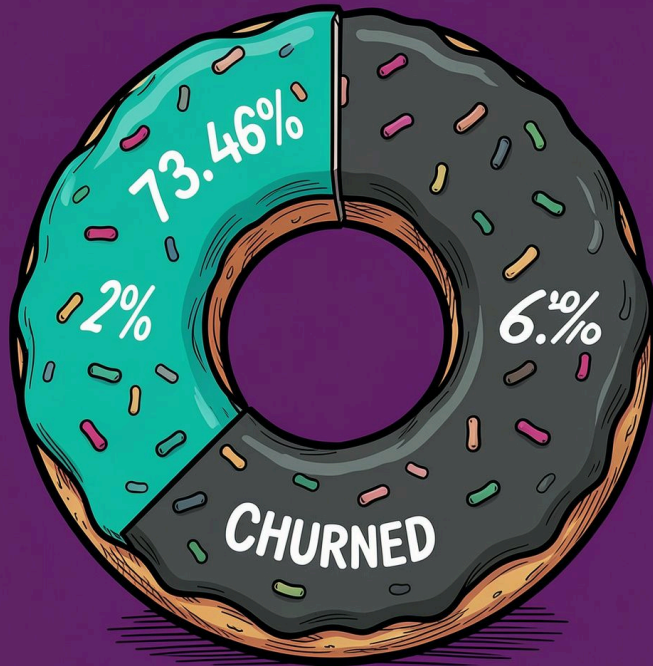
166 churned

3

Two Year

48 churned

Customer Retention Overview



Overall retention vs churn:

- No (Retained) — 73.46%
- Yes (Churned) — 26.54%

❏ Churn accounts for roughly one quarter of the customer base.

Insights & Patterns

Revenue Concentration

Existing customers produce the bulk of monthly charges (375.03K vs 81.08K).

Early Churn Risk

Highest churn in first 6 months — prioritize onboarding and early engagement.

Service Impact

Customers without OnlineSecurity or OnlineBackup still represent substantial charges.

Contract Strategy

Month-to-month customers are the largest churn cohort; longer contracts reduce attrition.

Recommended Next Steps

Targeted Retention

Design interventions for 0–6 month customers and high monthly-charge churners.

Contract Incentives

Offer attractive multi-month plans to shift month-to-month customers to longer terms.

Service Bundles

Promote OnlineSecurity/OnlineBackup bundles to increase value and stickiness.

